STRATEGIC BUSINESS MANAGEMENT

Suggested Answers
July-August 2022

Answer to the Question# 1 (a) (i):

-There may be a mismatch between the true intention of the organization's purpose and its culture mainly due to the lack of clarity of the former.

- The purpose normally influences the culture of the organization as the purpose exists first and then people who are appointed to the position are then nurtured to the needs of that purpose. However, for reformed organizations, such as those which have become the outcome of non-organic growth (merger and acquisition activity), then the cultures may have existed first through a legacy of the merged companies and the newly established purpose may not be consistently or well aligned with them.

- There are three levels of culture (artifacts, espoused values, and basic underlying assumptions) which must be managed differently by the manager concerned, and if these are not managed properly there is likely to be misalignment to the organizational purpose.

- To help managers think more seriously about managing the culture of the organization, the cultural web may be instrumental to that process.

Answer to the Question# 1 (a) (ii):

-Corporate image and corporate identity are different things: the former refers to what the organization is understood as to the stakeholders (as receivers), and the latter refers to the organization's self-image.

- It is common for a mismatch between the two, particularly when the marketing efforts of the organization are not effective; in this case it is important that the organization is not prone to bad public impression.

Answer to the Question# 1 (a) (iii):

-If the organization is an old one, there may be explicit mission statements that do not accord with the present expectation of corporate social responsibility.

- Compliance with corporate social responsibility matters may often be expensive, and therefore the incurrence of these costs may mean cutbacks on other organizational objectives.

Answer to the Question# 1 (b):

Several factors tend to hinder new product development. Some of them are as follows:

(i) Lack of innovative ideas to develop new product. There is very little scope to improve some of basic products such as steel, detergents etc.

(ii) Fragmented markets: Initially a company must aim its new products at smaller market segment. This can mean lower sales and lower profit for the product.

(iii) Social /Government restrictions: new products must satisfy consumer safety and environmental norms.

(iv) R&D Costs: A company typically must generate/compare/evaluate many ideas to find one worthy of development, and this leads to high costs.

(v) Production/Marketing costs: The basic factors, like R&D efforts, often lead to high costs on them.

(vi) Shortage of funds: Some companies with good ideas cannot raise funds that are necessary for its R&D activities, pilot production activities, test marketing, etc.

(vii) Development time: Time span for new product's development and its marketing should be brief. Most companies do not know how to shorten this time by advance planning in the areas of techniques, processes, and strategic partnership etc.

(viii) Shorter product life cycle if rival firms are quick to imitate when a new product is successful. There are plenty of crafty imitators.

Answer to the Question# 1 (c):

Competitive advantages that may be associated with being a first mover in product innovation in an industry are as follows:

• A reputation for innovation will attract early adopters, though it depends in part on promotional efforts by the firm.
• Customers may find that they are locked into innovative suppliers by unacceptable costs of switching to rival firms.
• The learning (or experience) curve effect may bring cost advantages to the innovative firm.
• The first mover firm may be able to define industry standards.
• A price skimming strategy can bring early profits that will be denied to later entrants.
• Legal protection, such as patents, for intellectual property may bring important revenue advantages.

Answer to the Question# 2 (a):

Analysis of general environment of Surma Mineral Water Ltd using Economic, Political, Environment and Legal.

Technological Factors The technological factors raised include the following issues:

• Use of biodegradable plastic – the passage of law requiring the use of environmentally friendly biodegradable plastic reflects improvement in the technology as far as plastic is concerned. The industry relies heavily on plastic as one of its core inputs in the production process.

• Efficient and state of the art – since the industry compete on the price basis it implies that the participants operate on low-cost leadership strategy which calls for efficient production process. This means that the industry needs cutting edge technology as far as its production process. This means that the industry needs cutting edge technology as far as its production process is concerned in order to lower cost and achieve competitive advantage

Political factors

The political factors relate to the actions and policies of the government and other political actors such as opposition political party activism. The case before us raises a number of political issues worthy of consideration.

• **Removal of subsidies** – this will result in higher cost of living in the economy. It will raise cost of doing business in the Surma Mineral Water Ltd and will also affect households and individuals. This will make the country's businesses less competitive compared to other foreign business that may be enjoying subsidies from their governments.

• **Political instability** – removal of subsidies is likely to result in agitations and demonstrations from the citizens who are likely to feel the negative impact in terms of increase cost of living. Any such political upheaval will have negative consequences for the economy as a whole.

• **Taxation policy** – The government appears to have appetite for taxes. It has introduced a bill in parliament, if passed into law, require companies to use biodegradable plastic as well as considering introduction of special tax to deal with plastic pollution. This will further worsen cost of doing business in the economy and will make businesses less competitive.

• **Establishment of Industry regulator** – setting up of the industry regulator to deal with hitherto unregulated industry will have implication for the cost of doing business in the economy.

Legal factors

These factors deal with various laws government passes to deal with the conduct of business in an economy. In this particular case the following legal issues arise:

• **Special Tax** – The government is considering the introduction of special tax to raise necessary funds to deal with the plastic waste challenge facing the urban centers. This is a major threat to the industry operators as this will result in higher cost of production with limited chance to pass on the effect to the consumers due to price sensitivity.

• **Labor laws amendments** – since the new law reduces the hiring period of casual laborers from 18 to 6 months and also make it easier for the workers to join trade unions imposes further cost of doing business in the economy. Unionized workers can demand for high salaries and also hiring more workers on permanent basis withal its related costs.

• **Law setting up regulator for the industry** – this is perceived to limit rate of new businesses entering the industry and existing ones may face high demands on them.

Environmental Factors

These factors relate to how the natural or physical environment is affected by the actions and activities of businesses.

• **Pollution of environment** – the case clearly states how the used sachet and bottles are becoming a nuisance to the environment. The plastic is not biodegradable.

• **Floods** – choked drains have resulted in serious floods that affect lives and property in the urban centers.

• **Pollution of water bodies** – serious pollution of environment can affect waters bodies dotted around the country and can even affect their long-term sustainability.

• **City Authorities budget** – high cost of running the cities.

Answer to the Question# 2 (b):

Nature of competition in the industry refers to five forces analysis and in this particular case each of the forces will be examined.

Threat of new entrants

The competition in an industry gets intense when the barriers to entry are weak hence many businesses are able to enter the industry. In the case there are number of factors that show that industry is easily entered.

- **Capital requirements** – given the fact that the industry has grown from one to over two hundred producers and the assertion that the capital requirements are generally low makes the industry highly competitive.
- **Product differentiation/standardized product** – the case suggest that basis of competition is price which implies that producers in the industry do not differentiate their products or in other words the product of the industry is standardized which will make competition very keen.
- **Switching cost –** it appears that consumers face very low switching costs since water is not any technical and sophisticated product. Hence consumers can easily switch from one producer to another without any major cost. This makes competition much more severe.
- **Knowledge requirements** – no special skill or knowledge is required to operate in this industry hence competition will be more intense.

Bargaining power of buyers

The group of buyers can be power or less power depending on a number of factors. In this particular the industry faces two buyer group – thus corporate buyers and bulk distributers. A number of factors in the case make the buyer groups power.

- **Low switching costs** – it will not cost buyers corporate and bulk distributors buyer groups to switch from one producer to another. This makes buyer group very powerful relative to the industry.
- **Buyers face standardized/undifferentiated product** – "all water be water". This simply means that sachet water or bottled water from one producer is not much different from the next producer hence consumers are really indifferent as to which producer produces what. This makes buyer group very power.
- **Threat of backward integration** – from the case some bulk distributors are actually venturing into production by bypassing already existing producers and this makes the buyer group very powerful

Low profit margins – in the case bulk distributors clearly face low profit margins and so are very sensitive to price increases by producers of Pure Water.

Bargaining power of suppliers

The supplier group provide the inputs into the production process of the industry. There supplier group include the labor, providers of water and electricity. These supplier groups will be more powerful and hence intensify competition with the following conditions.

- **Few or dominant supplier group** – currently apart from the few producers who have their own water supply, most industry players depend on Surma Mineral Water Ltd Water Company which is the sole supplier aside drilled bore hole. This makes powerful as it can afford to hike prices without much input from the industry.
- **Limited alternative sources of supply** – Currently bore hole drilling is the only available alternative for the industry. But since majority of the producers depend on WASA it may suggest that there could be challenges with owning one's bore hole which may include locating favorable site and cost of drilling minimum required number of bore holes to supply sufficient water.
- **Suppliers' product is an important input to buyer's business** – without supply of raw water sachet and bottled water will not be produced. It is an indispensable input into the industry.
- **Unionization of labor** – will make wage negotiation tougher and makes the labor supply input powerful.

Rivalry among existing firm

This force deals with how the exist firms in an industry contend for the market share. The case points a number of situations that give rise to intense competition among rivals.

- **Declining/negative growth** – since the industry is declining it will make the fight for remaining market share much intense.
- **Equally balanced competitors** – from the case it appears that there no one particular firm that dominates the market and since they all have fair share of the market each firm can respond to any price cut by the competitor.
- **Many producers** – there are over 200 producers in the industry, and this makes them weak especially when they have not formed any cartel or association to regulate the price.

• **Low switching cost** – the industry products have no or very low switching costs. This makes the competition keen since each producer would have to make effort to retain the existing customers, so they are not taking over by other competitors.

Threat of substitute products

These talks about alternatives to the industry products. In the case there are substitutes from imported sources, WASA and other water bodies.

• **Availability of substitutes** – there are readily available substitute sources to the industry. Some corporate clients are importing sachet and bottled water, WASA is available as well as other water bodies.

• **Low switching cost** – There is low switch cost in moving from the industry source to other sources available.

Answer to the Question# 2 (c):

Determination of the best option between lease and buy

calculation of depreciation allowance and related tax savings

Year	Value start of the year	25% Depreciation	25% Tax savings on Depreciation Allowance
1	175,000	43,750	10,938
2	131,250	32,813	8,203
3	98,430	24,609	6,152
4	73,828	18,457	4,614
5	35,371= (73,828-18,457-20,000)	35,371	8.843

Calculation of Buy-option NPV

	Year						
	0	1	2	3	4	5	6
Purchase cost	(175,000)						
Tax savings on dep allowance		-	10,938	8,203	6,152	4,614	8,843
Trade in value						20,000	
Net cash flow	(175,000)		10,938	8,203	6,152	24,614	8,843
Discount factor	1	0.8696	0.7561	0.6575	0.5718	0.4972	0.4323
Present value	(175,000)		8,270	5,394	3,518	12,238	3,823
NPV of buy option	(**141,758**)						

	1	2	3	4	5	6
Lease payment	(52,000)	(52,000)	(52,000)	(52,000)	(52,000)	-
Tax savings on lease payment (25% of LP)		13,000	13,000	13,000	13,000	13,000
Net cash flow	(52,000)	(39,000)	(39,000)	(39,000)	(39,000)	13,000
Discount factor @ 15%	0,8696	0.7561	0.6575	0.5718	0.4972	0.4323
Present value	(45,217)	(29,490)	(25,645)	(22,298)	(19,390)	5,620
NPV	**(136,418)**					

Decision:

Since the lease option results in the least cost of BDT136,418 against buy option cost of BDT 141,758 (000).

Answer to the Question# 2 (d):

Lease or buy are not purely a matter of calculations.

The following are qualitative considerations in arriving at a decision:

- **Effect on cash flow** – the organizations liquidity at the time the decision is made may be important. If the business is suffering cash flow difficulties, lease payments may offer a smoother cash flow than one big lump sum.
- **Cost of capital** – the decision on whether to obtain use of the asset may be dependent upon appraisal method or cost of capital used. A decision not to invest taken using the company's overall cost of capital may be reversed if a significantly lower cost of leasing is used in the cash flow.
- **Running expense** – lease or buy calculations normally assume that running costs are the same under each alternative. This may not be so. Expenses like maintenance and insurance may differ between the alternatives.
- **Trade in value** – the organization will gain (uncertain) benefits of a trade-in value if it chooses the purchase option.
- **Effect on reported profit** – annual profits are reported on accrual basis, after the deduction of depreciation. The effect of the alternatives on reported profits should be considered since this could, if significant, affect dividend policy and valuation of shares.
- **Alternative uses of funds** – Lease or buy decision will not be taken in isolation. If the business has limited funds available, there may be better uses for those funds than obtaining the asset, even if the asset does yield net positive cash flows

Answer to the Question# 3 (a):

Words or phrase indicating a risk	**Business risk indicated**	**Financial statement risk indicated**
Standard design	Operational risk is increased by standard design of each centre, because a problem with one facility at one centre is likely to be repeated at all the centres.	Asset values might be affected – for example, non-current assets might be overstated if they have been impaired by lack of use (e.g. saunas – see below). Asset impairment has probably not been recognised.
each centre must have a licence to operate	An operational risk exists, because a centre cannot operate if its licence is withdrawn.	Each centre's licence must be accounted for properly, i.e. capitalised.
Fees are payable annually in advance	Financial risk is increased by payments in advance because cash has to be available to fund services later when they are due.	Deferred income must be calculated correctly in the financial statements.
serious accident in the sauna involving chemicals	Serious accidents may prompt investigation by the local government authority, leading to fines or penalties or loss of licence.	Provisions should be recognised for any fines that might be pending. If any centre's licence is affected by such events, the licence may be impaired.
revised guidelines	Compliance risk that the fitness centres cannot meet the new guidelines	If failure to comply leads to punitive action by the local government authority, it may be necessary to make provisions for fines/penalties.
many members have complained strongly	Risk that falling membership will continue	Fees payable in advance are said to be non-refundable. This might be incorrect, and a provision might be required for refunds of fees.
Three … fitness centres are expected to have run at a loss	Risk that more centres will become loss-making.	Possible need to consider the going concern status of the company, or at least to test the fitness centres for impairment as cash-generating units.
construction behind schedule and costs to date far in excess of budget	Risk that the new hydrotherapy pool will not attract the expected new members	The value of the asset should be considered. There might be a loss of value due to impairment even before it has opened for use.
defer by at least one year the replacement of gym equipment	Risk of more customer dissatisfaction and loss of members	Risk that depreciation might be charged for equipment that is already fully depreciated.

Answer to the Question# 3 (b):

Evaluation of proposed credit policy change

The evaluation of a proposed credit policy change requires the estimation of the value of benefits and costs associated with the policy change.

Benefit from the proposed policy change:

The benefit from the proposed policy change will be increment in contribution margin.

Additional sales = 20% x TK.80,000,000 = TK.16,000,000

Additional CM = 30% x TK.16,000,000 = TK.4,800,000

Cost of the proposed policy change:

The cost of the proposed policy change will be the increment in credit-related costs.

Additional collection costs = TK.65,000 – TK.50,000 = TK.15,000

Additional bad debt loss = 2% x TK.16,000,000 = TK.320,000

Additional cost of receivables:

Receivables under existing policy = 15/365 x TK.80,000,000 = TK.3,287,671

Receivables under proposed policy = 24/365 x TK.96,000,000 = TK.6,312,329

Additional receivables = TK.6,312,329 – TK.3,287,671 = TK.3,024,658

Additional cost of receivables = TK.3,024,658 x 24% = TK.725,918

Total additional credit-related costs = TK.15,000 + TK.320,000 + TK.725,918 =TK.1,060,918

Net benefit = TK.4,800,000 – TK.1,060,918 = TK.3,739,082

Recommendation:

The policy change should be implemented as it will increase the profit of the company.

ALTERNATIVE

	OLD POLICY	**NEW POLICY**	**CHANGE**
Sales	80,000,000	96,000,000	16,000,000
Contribution Margin (30%)	24,000,000	28,800,000	4,800,000
Less Cost:			
Collection cost	50,000	65,000	15,000
Bad debt (2%)	1,600,000	1,920,000	320,000
Receivable cost (15/365 x 80m) (3,287,671 debtors x 24%) (24/365x96m =6,312,329 x24%)	789,041	1,514,959	725,918
Net benefit	21,560,959	25,300,041	3,739,082

Recommendation:

The policy change should be implemented as it will increase the profit of the company.

Answer to the Question# 3 (c):

How JBL Limited can use currency swap to manage its underlying currency coupon exposure:

The currency swap will permit JBL Limited to pay the obligations relating to the outstanding loan in its preferred currency. Thus, whenever interest payment is due, JBL gets to pay interest to the swap counterparty in Takas while it receives interest in dollars from the swap counterparty under the swap arrangement. JBL then forwards the dollar interest to the lender.

At maturity, JBL gets to pay the principal in Takas to the swap counterparty while it receives the dollar principal from the swap counterparty. JBL then forwards the dollar principal received to the lender.

The details of the cash flows are presented in the table below:

Notional principal (USD)	USD 20,000,000
Exchange rate	TAKA 96.5 / USD1
Notional principal (TAKA)	TAKA 1,930,000,000
Dollar interest rate	12%
Taka interest rate	15%
Whenever interest payment is due:	
JBL pays to the lender	USD (2,400,000)
JBL receives from the counterparty	USD 2,400,000
JBL pays to the counterparty	TAKA (289,500,000)
Net interest	TAKA (289,500,000)
When principal payment is due:	
JBL pays to the lender	USD (20,000,000)
JBL receives from the counterparty	USD 10,000,000
JBL pays to the counterparty	TAKA (1,930,000,000)
Net principal repayment	TAKA (1,930,000,000)

Answer to the Question# 4:

- The discount rate used by INTRACO Ltd has not been calculated in accordance with the requirements of IAS 36 *Impairment of Assets*. According to IAS 36, the future cash flows are estimated in the currency in which they will be generated and then discounted using a discount rate appropriate for that currency. IAS 36 requires the present value to be translated using the spot exchange rate at the date of the valuein use calculation.
- Furthermore, the currency in which the estimated cash flows are denominated affects many of the inputs to the WACC calculation, including the risk-free interest rate.

INTRACO Ltd has used the 10-year government bond rate for its jurisdiction as the risk-free rate in the calculation of the discount rate. As government bond rates differ between countries due to different expectations about future inflation, value in use could be calculated incorrectly due to the disparity between the expected inflation reflected in the estimated cash flows and the risk-free rate.

- According to IAS 36, the discount rate should reflect the risks specific to the asset. Accordingly, one discount rate for all the cash-generating units (CGUs) does not represent the risk profile of each CGU. The discount rate generally should be determined using the WACC of the CGU or of the company of which the CGU is currently part. Using a company's WACC for all CGUs is appropriate only if the specific risks associated with the specific CGUs do not diverge materially from the remainder of the group. In the case of INTRACO Ltd, this is not apparent.

ii) Carrying amount of building at 31 March 2021 TK. (25 – 1 depreciation) million, i.e. 24 million Dong /82 = TK.292,683.

- Recoverable amount of building at 31 March 2021 (17.5 million Dong/86) = TK. 203,488.
- Impairment loss to profit or loss = TK.89,195 (TK.292,683 – 203,488)
- The tax base and carrying amount of the non-current assets are the same before the impairment charge. After the impairment charge, there will be a difference of Tk. 89,195. This will create a deferred tax asset of TK. 89,195 x 25%, = Tk. 22,298.

As INTRACO Ltd expects to make profits for the foreseeable future, this can be recognised in the financial statements.

Answer to the Question# 5 (a):

a) There are two approaches available to the board in its effort to resolve ethical issues in Parag Chemist Ltd. These are Compliance-based approach and integrity-based approach. Each of these approaches are discussed below:

Compliance-based approach

A compliance-based approach is basically designed to ensure that the company acts within the letter and spirit of the law, and that violations are prevented, detected, and punished. Generally, organisations faced with the legal consequences of unethical behaviour take legal precautions such as the following:

- Follow laid down compliance procedure to detect misconduct on the part of any employee. The board should activate its compliance system by taking suspected employees through compliance procedures.
- Institution of audits of various contracts within the company to unravel any unethical conduct by management.
- Put in place whistleblower mechanism or systems to encourage employees to report unethical and criminal conduct/behaviour without fear of retribution
- Strict disciplinary procedures should be instituted to deal with transgressing employees.

I**ntegrity-based approach**

An integrity-based approach combines a concern for the law with an emphasis on managerial responsibility for ethical behavior. Integrity-based approach strives to define company's guiding values, aspirations and patterns of thought and conduct. When integrated into the day-to-day operations of the organization, it helps prevent damaging ethical lapses, while tapping into powerful human impulses for moral thought and action. The company may pursue the following strategies:

- Consciously building/inculcating ethical values and conduct into the culture of the organization so as to become taken-for-granted assumption.
- Regular ethical based training programmes for all levels of staff in the company.
- Encouraging staff to whistle blow any unethical conduct and offering necessary protection for such staff. Incorporating serious ethical background checks in the recruitment process in order to weed out recruitment of unethical joiners.

Answer to the Question# 5 (b):

The professional accountant who provides services other than assurance services for an assurance client faces **Self-Review Threat**.

i)
- **Preparing accounting records and financial statements**. There is clearly a significant risk of a self-review threat if a firm prepares accounting records and financial statements and then audits them. On the other hand, auditors routinely assist management with the preparation of financial statements and give advice about accounting treatments and journal entries. Therefore, assurance firms must analyse the risks arising and put safeguards in place to ensure that the risk is at an acceptable level.
- **Valuation services.** A valuation comprises the making of assumptions with regard to future developments, the application of certain methodologies and techniques, and the combination of both in order to compute a certain value, or range of values, for an asset, a liability or for a business as a whole. Audit firms should not carry out valuations on matters that will be material to the financial statements. If the valuation is for an immaterial matter, the audit firm should apply safeguards to ensure that the risk is reduced to an acceptable level.

ii) **Safeguards for preparing accounting records and financial statements include:**

- Using staff members other than assurance team members to carry out work
- Obtaining client approval for work undertaken.

Safeguards for valuation services include:

- Second partner review
- Confirming that the client understands the valuation and the assumptions used
- Ensuring the client acknowledges responsibility for the valuation
- Using separate personnel for the valuation and the audit

Answer to the Question# 6 (a):

Limitations of Financial Measures

- Financial analysis often measures past performance only and does not show what is happening currently.
- It involves subjective judgments e.g., Positive, or negative values or low and high values may mean different things for different industries or even organization.
- Financial analysis also only talks about the financial health of the organization and not every aspect of its performance.
- Comparing any two years may not reveal the true picture i.e., especially good, or especially bad is unlikely to be repeated

Answer to the Question# 6 (b):

In evaluating the performance of an organization, the following measures may be employed

Financial

- **Return on Capital Employed (ROCE)-** ROCE is used by companies to assess the value add by investing a certain amount of capital. It aims at ensuring the efficient use of capital. It is expressed as a percentage of profit earned over the capital employed.

- **Economic Value-Added** -Economic Value Added (EVA) is used to assess ongoing performance of the organization. It helps managers to determine whether current policies are creating value. It is used to assess the company's current position in terms of the value that has been created by the past and current strategies being employed. Basically, if a company achieves a positive EVA, then the investment will have generated a surplus greater that the firm's weighted average cost of capital and therefore created value for the shareholders. EVA = Adjusted profits after tax - (adjusted capital) invested capital x weighted av. Cost

- **Pay back** Payback simply measures the number of years it will take to recover the original investment from net cash flows resulting from a project. Typically, it is used to make an investment decision that requires a choice between two or more projects. If the payback is the sole evaluation criterion, the company would choose the option which would result in the shortest payback period.

- **Net Present Value** This approach is used to calculate the present value of projects. It is based

on the principle that money received today is worth more than money received net year because of the opportunity to invest and consequently earn a return. There are three possible outcomes: where BPV is 0, there decision maker is indifferent. NPV is negative: The project will fail to generate sufficient funds to cover the cost of capital. NPV is positive: the project is likely to generate a return greater than the cost of capital. An investment may be considered.

- **Ratios** (profit, sales, operational) There are three main types of ratios: Profit ratios, Sales ratios, and Operational rations. Thus, ratios are used to measure profits, sales performance, and the organizations' ability to generate cash.

Profit ratios: The main profit ratio is the profit margin which measures the amount of profit generated form sales. i.e., Profit before interest + tax divided by sales turnover. Other profit ratios include profit generated from the use of assets (profit/net assets), gross profit generated from sales (gross profit/sales) and net profit generated from sales (net profit/sales)

Sales Ratios: The main sales ratio is asset turnover i.e., sales/net assets. Other ratios used by firms involve sales turnover calculated as a ratio of fixed assets, working capital, or selling cost. All these ratios either tracked over time or compared against competitors or the standards set can give a company a measure of the efficiency of their performance in these areas.

Operational Ratios: Operational ratios help a company assess its ability to generate cash on which to run the business. Without cash a company cannot operate its business, therefore the liquidity of the company and its amount of working capital will be regularly monitored. In these ratios the turnover periods in which cash will be generated are calculated, usually expressed in terms of days or how many times the business is exchanging cash.

The main liquidity ratios are Debt collection period: level of debt/sales turn over, Stock turnover period: average stock level/ total cost of goods, sold Creditors turnover period: average trade credit/ cost of sales Current ratio: current assets/current liabilities. Any increase in any of these ratios will warn the company that cash is being tied up in funding the work in progress.

Non – Financial Measures

There are many non- financial measures, and the choice of an appropriate measure depends on the critical success factors that drive performance in the market/industry. Thus, if a critical success factor is superior customer value, level of customer satisfaction and level of customer loyalty may be key measures. Some of the common non – financial measures are:

- **Market share** – measures the percentage of the total market that an organization controls. A high market share indicates that the organization occupies a relatively high market position as compared to the others.
- **Sales volume/ growth** – a high sales volume suggests that the organization is doing well in terms of sales. • Customer loyalty – demonstrates the extent to which customers are willing to continue buying the organisation's product/service. This reflects the quality of product/service and customer service provided by the organization.
- **Number of customer complaints** – many customer complaints signify weak performance with regard to product/service quality, access to the products/services or challenges with the processes that customers have to go through.
- **Market image and awareness levels** – the image of the organization or product and level of awareness signifies the effectiveness of the organisation's promotional efforts and level of acceptance and usage of the product/service.
- **Employee motivation** – the extent to which employees are willing to put in more efforts in their performance is an indication of how well the organization is treating them.
- **Employee turnover** – measures of employee turnover (the rate at which employees leave the organization) signify the level of their satisfaction with conditions in the organization.

Answer to the Question# 7 (a):

The case is on Luna, a junior audit member faced with juggling disturbing family issue of the mother's ailment and her work schedule, as part of an audit team. However, Luna's situation has been brought to the notice of the Audit manager, and the manager has also informed team members of her current challenge.

Unfortunately, some team members have rather decided to put her under even greater stress despite being told this.

Integrity:

Luna might have breached the principle of integrity as she has not been honest and straightforward in her employment with the company. The circumstance of Luna clearly, shows that she is not in the position to work on a full-time basis but chose to do full-time on purely financial grounds. As the manager of Luna, you could easily violate the principle of integrity. Therefore, you need to ensure that you are always fair to all those involved and act straightforwardly and honestly.

Professional competence and due care

Though the competence of Luna is not in doubt, as a result of not finding enough time for her job, the diligence expected that she executes her assigned duties is or will be missing. The principle of professional competence and due care might have been breached;

Objectivity

The "compassionate" approach used by the manager in handling Luna's issue also raises an issue on the objectivity required by professionals in managing positions or handling tasks. Luna, on this same matter of taking care of her ailing mother, was given a compassionate leave and after her resumption to work, is being "managed" even though the manager is aware of the negative effect of her lateness and absence at team meetings on the work flow and the team's performance. There seems to be some sort of "bias" demonstrated by the manager in handling the issue. The manager wants the team members to help overcome the problem caused by Luna's current challenge without any action being taken against Luna.

The principle of objectivity is seemingly breached here.

Confidentiality:

As the manager of Luna, you owe a duty of confidentiality to the staff involved. Therefore, do not disclose the personal circumstances of Luna to others without her permission to do so unless it is in the public interest or related to her employment contract. It would be best if you, the manager, remind the other team members to ensure that the confidentiality of Luna's situation is maintained.

Professional behaviour:

The manager must ensure that all relevant laws and regulations are followed to ensure that he or she can proceed with dealing with the matter so as not to discredit himself or herself, his or her profession or the practice for which you the manger work for.

Therefore, consider the firm's policies, procedures and guidelines, best practices and, with legal assistance if required, applicable laws and regulations. The manager needs to refer to a staff handbook or similar internal publication if there is one. The manager also needs to consider whether it is his or her proper role to manage this staffing issue.

Finally, the manager needs to check the appropriateness of referring the issue to the department responsible for personnel issues if the practice has one.

Answer to the Question# 7 (b):

Possible causes of action

- As Luna's manager, you need to check all the relevant facts. If necessary, clarify staff procedures with the personnel department. Take legal advice if required.
- Discuss the matter with the junior member of staff. Possible solutions may include suggesting a more flexible approach to team meetings. Do these always have to be in the morning? At times, working from home may be an option for the junior member of staff, especially with recent technologies such as MS Teams, Zoom, Voov, to mention but a few.
- You also need to deal with Luna's colleague member of staff, who needs to be reminded about proper conduct and how such behaviour may amount to harassment and be in breach of the practice's code of conduct.
- The process of considering the issues and trying to identify a solution enables you to demonstrate that you are behaving professionally and attempting to resolve the difficulties faced by Luna, a junior member of staff. Throughout, it would be best if you were seen to be acting reasonably – both towards Luna, the junior member of staff, who is responsible for taking care of her mother's sickness and towards other members of staff as well.
- After you have considered all reasonable compromises, if the conclusion is reached that Luna, the junior employee, cannot carry out the work for which she was employed, you must turn your attention to her ongoing employment within the practice.
- This will probably be out of your hands, and you should deliver the relevant facts of the situation to the personnel department or the owners of the practice.
- You need to ensure that appropriate confidentiality must always be maintained.
- You need to document, in detail, the steps that you take in resolving your dilemma in case your ethical judgement is challenged in the future.

---The End---